CASE STUDY

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RESEARCH QUESTION

What led Lego to the crisis from a strategic point of view, and how did it overcome it ?
Why is it successful today?

STRUCTURE

INTRODUCTION
brief history
of LEGO

CRISIS
90's up to crisis
resolution of crisis

LEGO TODAY
Value Chain Analysis
5 forces

LEGO FUTURE
PESTEL Analysis

BRIEF HISTORY

1932 founded

1958 from wood to plastic bricks

1960 introduction of wheels

1970 themes in toys

1990 innovation and partnerships

2003 crisis

LEGO IN CRISIS

Lego has not always been successful. By 2003, the company was virtually out of cash. It lost $300 million that year, and the projected loss for the next year was up to $400 million. In this section we analyse the causes and resolution of the crisis.

TOOLS:
- Value Chain analysis

CRISIS

SECONDARY ACTIVITIES

INFRASTRUCTURE = company overhead and management, including financing and planning

- bad costing system
- no pax has functional responsibility → *there was an internal brand board focusing on product-by product issues*

TECHNOLOGY DEVELOPMENT = R&D, market research, product desig, process developement

- plenty of new designs, but no care for costs → *complex production system: 13 000 blocks and expensive molds*
- plenty of new products, but not profitable → *only 30 products generated 80% of sales*

PROCUREMENT = sourcing of raw materials, components, and services

- engineers independently choose vendors for new materials → wasteful spending to buy bulk materials for small needs → costly unused stock
- irregular ordering and vast supplier network => inefficient negotiation with suppliers and inefficient exploitation of LEGO's scale

INBOUND LOGISTICS
= receiving, warehousing, inventory management

- bad inventory management → can run out of stock simply if 1 piece is missing

OPERATIONS
= process of transformation

- production teams acting like separate units, placing disorganized and frequently changing orders → difficult to plan long term
- in house production instead of outsourcing

MARKETING AND SALES

- incoherent brand architecture

2004
net profit/loss
-1.931 milion DKK

PRIMARY ACTIVITY

CRISIS - resolution

2003 Knudstorp was appointed as CEO to save company

SECONDARY ACTIVITIES

INFRASTRUCTURE = company overhead and management, including financing and planning

bad costing system → thorough monitoring of costs and profits

no pax has functional responsibility → Clearer descriptions of rights and responsibilities => more difficult to dodge tough decisions or not consider global impact

TECHNOLOGY DEVELOPMENT = R&D, market research, product desig, process developement

plenty of new designs, but no care for costs → from 13000 to 6500 pieces

plenty of new products, but not profitable → return to the core product: brick → complementary innovations, partnerships, crowdsourcing

PROCUREMENT = sourcing of raw materials, components, and services

engineers independently choose vendors for new materials → sales and operations set orders at a regular monthly meeting ← irregular ordering and vast supplier network => inefficient negotiation with suppliers and inefficient exploitation of LEGO's scale

INBOUND LOGISTICS
= receiving, warehousing, inventory management

bad inventory management → simpler brick system, coordination and consolidated distribution

OPERATIONS
= process of transformation

production teams acting like separate units, placing disorganized and frequently changing orders

in house production instead of outsourcing

outsourced production to Czech Republic

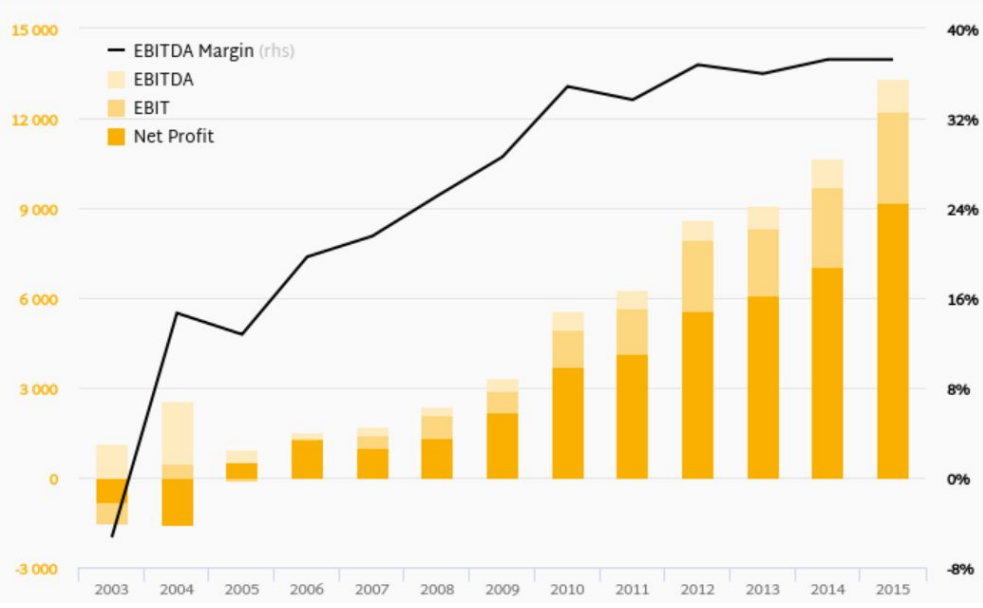
MARKETING AND SALES

incoherent brand architecture → emphasy on core product, client centred approach, strategic expansion

2008
net profit/loss
1.352 milion DKK

PRIMARY ACTIVITY

CRISIS


EBITDA Margin (rhs)
EBITDA
EBIT
Net Profit
15 000
12 000
9 000
6 000
3 000
0
-3 000
40%
32%
24%
16%
8%
0%
-8%
2003
2004
2005
2006
2007
2008
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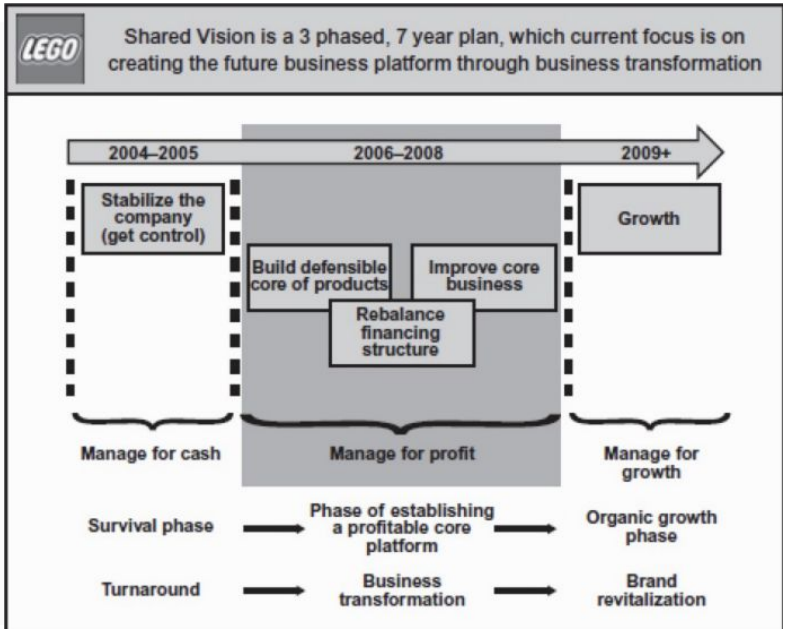
2010
2011
2012
2013
2014
2015


LEGO
Shared Vision is a 3 phased, 7 year plan, which current focus is on creating the future business platform through business transformation
2004–2005
2006–2008
2009+
Stabilize the company (get control)
Build defensible core of products
Improve core business
Rebalance financing structure
Growth
Manage for cash
Manage for profit
Manage for growth
Survival phase
Phase of establishing a profitable core platform
Organic growth phase
Turnaround
Business transformation
Brand revitalization

LEGO TODAY

Luckily LEGO managed to survive the crisis and close every year after with profits.
Given so, we wish to know how the business operate today and how it maintains its position

TOOLS:
- Value Chain Analysis => to know how it operates
- Porter's five forces => to reveal how LEGO navigates challenges

VALUE CHAIN

FIRM INFRASTRUCTURE : LEGO's dynamic management and focus on sustainability allow it to maintain profitability and brand loyalty. LEGO is one of the biggest toy's companies in the world.

HR MANAGEMENT : LEGO promotes a flexible, collaborative and inclusive culture

TECHNOLOGY DEVELOPMENT : LEGO innovates in product design and digital products (e.g., LEGO Boost, augmented reality)

PROCUREMENT : LEGO focuses on sustainable sourcing, moving towards eco-friendly materials (ex : bio-based plastics)

INBOUND LOGISTOCS

LEGO works with raw materials, primarily bio-based plastic, and maintains strong relationships with their suppliers to ensure a steady flow of high-quality materials.

OPERATIONS

LEGO's production processes are automated with long time trusted partners/suppliers, allowing the company to produce high-quality bricks. Factories are strategically located (Danemark, Hungary, Mexico and China) to optimize global production.

OUTBOUND LOGISTICS

LEGO has an extensive distribution network, including partnerships with retailers (like Walmart, Amazon) as well as its online store and branded LEGO stores.

MARKETING AND SALES

LEGO has strong brand recognition and uses partnerships (e.g., with movies, video games) and digital marketing to reach a broad audience, including children and adult fans. The diversity of LEGO sets allows them to have a broad audience (from themed sets, to educational ones...).

SERVICES

LEGO provides excellent customer service, including replacement parts and user-friendly instructions. It also offers a robust online community and support for product customization.

MARGIN : as a result of decades of hard work, LEGO enjoyed a 13.1 billion DK of net profit (2023)

5 FORCES

BARGAINING POWER OF SUPPLIER

HIGH

Chinese subcontractors are the main suppliers.
BUT they provide to other sectors, => low reliance on LEGO.
RISK: suppliers set prices and change them based on raw material costs and adjustments in oil prices
BUT LEGO does long term contracts ensuring price stability and availability

THREATS OF NEW ENTRANTS

LOW

LEGO lost its intellectual patent for the "block" design
=> issue of piracy because other producers can offer similar products
BUT LEGO has strong brand reuptation, advantages of economies of scale, well established distribution relationships, which protect its position on the market.

BARGAINING POWER OF BUYERS

MODERATE

The main customers of LEGO are big retailers, like Walmart.
They have moderate bargaining power. Why?
1. Can set prices and delivery time
2. Can give way to new entrants and reduce shelf space of LEGO
BUT moderate because individual buyer has no influence on price, but switching cost to substitutes is low : price sensitivity

THREAT OF SUBSTITUTE PRODUCTS

MODERATE

1. Toy mkt is volatile in trends and consumer preferences
2. Lots of products can be considered substitutes: videogames, educational apps, sport activities

BUT LEGO effectively deals with changes of interests and offers digital and technological games (ex: partnerships Fortnite)

RIVALRY AMONG EXISTING COMPETITORS

HIGH

There is a lot of competition with the other leaders in the toy business. Some names: Hasbro and Mattel.

BUT LEGO has client fidelity and established brand and has hence a solid market share

LEGO FUTURE

Lastly we will see in which context LEGO operates and based on that what it is doing to address the situation.

TOOLS:
- PESTEL Analysis => gives insight on current environment and trends of future
and strategy of LEGO

P — POLITICAL

political instability => logistic and production costs

US-China tensions tarrif increse for imports

diversification on supply base

E — ECONOMIC

fluctuations of exchange rates

forward contracts => fix price

fluctuations of economy

2023 = the most negative toy market in more than 15 years, but still LEGO grew revenue by 2%

S — SOCIO-CULTURAL

sensitivity towards inclusitivity

lego play for everyone + inclusive workplace

sensitivity of consumers on environment

T — TECHNOLOGICAL

development of APPS for AR play, and investments for more innovations

AR

opportunity to improve operational efficiency

AI

by 2030 use sustainable materials, and increase by 60% on environmental initiatives spending

E — ENVIRONMENTAL

limits on waste and emission

reduce absolute GHG *emissions* by 37% by the year 2032 compared to 2019

sustainable materials

L — LEGAL

regulations on product safety

norms against toxic or noxios materials

trade and tariffs laws

TAKEAWAYS

- product diversification and innovation can backfire
- finding what gives sustainable advantage is key
- strong reputation and efficient consumer-based gives advantage
- necessary to analysing the performances of each product
- ability to recognize bad practices and change strategy to improve
- Be able to bounce back

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